

Class 19

Trade, Tariffs, and Globalization

Part IV — Governing Capitalism's Consequences

The American Economy — draft course materials (proposal under discussion)

Part IV — Governing Capitalism's Consequences

- ▶ Successful capitalism creates new problems: trade shocks, market power, public goods, fiscal burdens, financial panics, pollution, technological disruption.
- ▶ Part IV is the **government's toolkit**:
 - ▶ **Rules** — antitrust (Class 20)
 - ▶ **Provision** — public goods and state capacity (Class 21)
 - ▶ **Insurance and transfers** — taxes, social insurance, debt (Class 22)
 - ▶ **Stabilization** — money, banking, crises (Class 23)
 - ▶ **Pricing harms** — health, environment, externalities (Class 24)
- ▶ Bookended by the two open questions: **globalization** (today) and **technology** (Class 25).
- ▶ The recurring lesson: the problem is not capitalism — it is how to govern capitalism's consequences without killing the growth.

The point of today's class

Trade raises living standards through specialization, scale, competition, and lower prices — but it creates concentrated adjustment costs and security risks that American institutions manage through tariffs, agreements, worker-adjustment policy, and strategic restrictions.

Why it matters

- ▶ Where was your morning made? Your phone, your clothes, your breakfast crossed oceans to reach you.
- ▶ Reject two simplistic stories:
 - ▶ **Bad story 1:** free trade is always good for everyone.
 - ▶ **Bad story 2:** imports are bad because foreigners “take” American jobs.
- ▶ Better: trade is positive-sum nationally — but it creates winners and losers, and the losers are concentrated in particular workers, firms, and towns.
- ▶ Class 7 callback: railroads built a national market; container ships and supply chains joined it to the global one. Same economics, bigger stage, harder politics.

Today

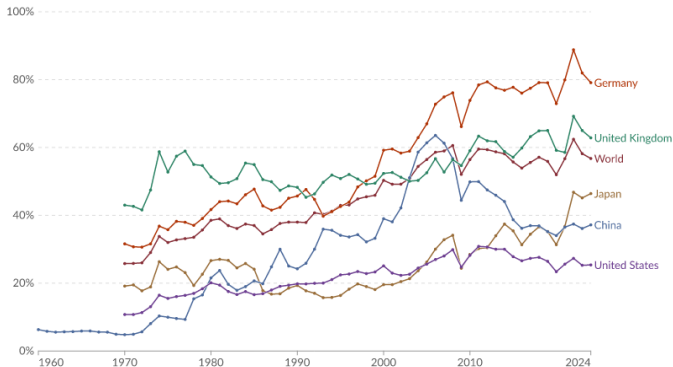
1. The trading game: why exchange creates value
2. Comparative advantage — and why imports are benefits
3. Winners and losers: the China shock
4. Tariffs: who actually pays
5. National security, resilience, and matching the tool to the problem

U.S. trade as a share of GDP, 1790–present

Trade as a share of GDP, 1960 to 2024

Our World
in Data

Sum of exports and imports of goods and services, divided by gross domestic product, expressed as a percentage. This is also known as the "trade openness index".



Data source: National statistical organizations and central banks, OECD national accounts, and World Bank staff estimates (2026)
OurWorldinData.org/trade-and-globalization | CC BY

Source: Our World in Data, based on World Bank and historical sources. CC-BY 4.0.

The trading game (ten minutes)

- ▶ **Setup:** everyone receives a random endowment (a small item — you don't choose it).
- ▶ **Round 0:** rate your item 1–10. We record the class total.
- ▶ **Round 1:** trade allowed — but only with your immediate neighbors. Re-rate; record the total.
- ▶ **Round 2:** trade allowed with anyone in the room. Re-rate; record the total.

What happens: the class total rises every round — **yet nothing new was produced.**

- ▶ Voluntary exchange creates value by moving goods to the people who value them most.
- ▶ Bigger markets create more gains — the whole room beats your row.
- ▶ That is globalization in miniature.

Comparative advantage — the economist's reframe

- ▶ **Comparative advantage:** specialize in what you give up least. Even if one country is better at *everything*, both gain when opportunity costs differ.

Common view	Economist's view
Exports are the goal	Exports are what we give up
Imports are a problem	Imports are what we get
Trade deficit means losing	Its counterpart is capital inflows
Self-sufficiency means strength	Self-sufficiency means being poorer

- ▶ The goal is not to maximize exports — it is to maximize welfare, consumption possibilities, security, and opportunity.

Why trade creates losers too

Winners	Losers
Consumers buying cheaper goods	Workers in import-competing industries
Exporting firms	Firms facing import competition
Firms using imported inputs	Towns specialized in vulnerable industries
Workers in expanding sectors	Workers with less-transferable skills
Shareholders in global firms	Local tax bases in declining places

- ▶ The gains are broad and often invisible; the losses are concentrated and visible.
- ▶ Theory says “move to expanding sectors” — but real people have houses, families, skills, identities, and local networks.
- ▶ Link to Part III: if adjustment costs are concentrated and persistent, trade shocks can damage local opportunity and mobility.

The China shock: manufacturing employment by commuting zone

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AUTOR ET AL.: THE CHINA SYNDROME

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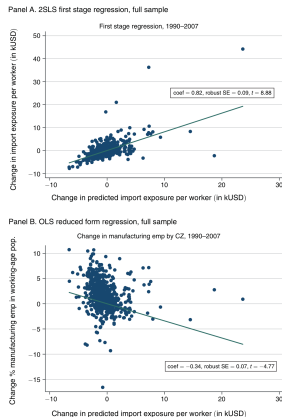


FIGURE 2. CHANGE IN IMPORT EXPOSURE PER WORKER AND DECLINE OF MANUFACTURING EMPLOYMENT:
ADDED VARIABLE PLOTS OF FIRST STAGE AND REDUCED FORM ESTIMATES

Notes: $N = 722$. The added variable plots control for the start of period share of employment in manufacturing industries. Regression models are weighted by start of period CZ share of national population.

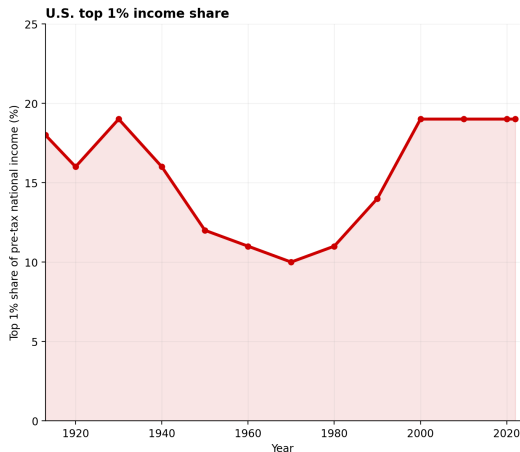
Source: Autor, Dorn, and Hanson (2013), *American Economic Review*, “The China Syndrome.”

Reading the China shock

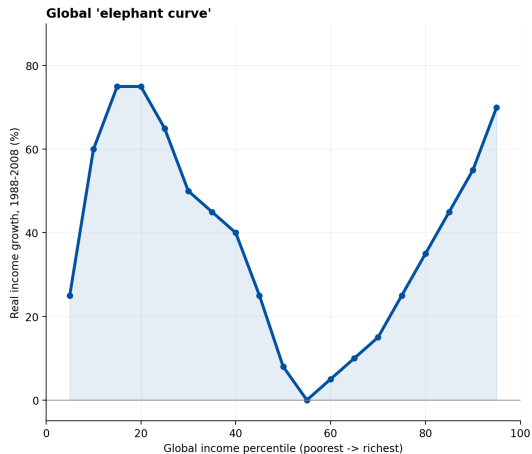
- ▶ Autor, Dorn, and Hanson study rising Chinese import competition, 1990–2007, comparing local labor markets by their initial industry mix.
- ▶ More-exposed commuting zones saw **higher unemployment, lower labor-force participation, lower wages, and higher transfer payments** — effects that were local and persistent.
- ▶ The method is the same family as the rest of the course: Mariel as a labor-supply shock, the 1927 flood, highways and portage sites — here, an import-exposure shock by commuting zone.
- ▶ Mechanism chain: import competition → factory closures → job loss → lower wages → exit from the labor force → transfers → community stress → politics.
- ▶ If trade makes America richer overall, why did some towns get worse off? Because the gains were national and diffuse, while the costs were local and persistent.

Globalization's winners and losers: the elephant curve

Inequality: the U.S. top 1% and the global elephant curve



Source: World Inequality Database (WID.world); Lakner and Milanovic (2016), World Bank Economic Review.



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Tariffs: who actually pays

- ▶ A tariff is a **tax on imports**. Who bears it is a question of **incidence** — not of who is named on the label.
- ▶ Amiti, Redding, and Weinstein: the 2018 tariffs passed almost completely through into U.S. prices — the burden fell on American consumers and firms buying imports.
- ▶ Fajgelbaum, Goldberg, Kennedy, and Khandelwal: the 2018–2019 return to protectionism cut both imports and exports, redistributed toward protected producers and the government — and produced a net loss for the U.S. economy.
- ▶ Key line: *a tariff can help a protected producer and hurt the country at the same time.*
- ▶ The Smoot–Hawley caution (1930): it did not cause the Great Depression (Irwin) — but it triggered retaliation against U.S. exports and helped world trade collapse.

National security: efficiency vs. resilience

Efficiency logic	Resilience / security logic
Buy from the lowest-cost supplier	Avoid dependence on adversaries
Just-in-time inventory	Redundancy and stockpiles
Global specialization	Domestic or allied capacity
Lower prices	Insurance against shocks

- ▶ Modern tools: Section 232 (steel and aluminum, national security); Section 301 (China's technology-transfer and IP practices); CHIPS-style subsidies for semiconductors.
- ▶ Resilience is like insurance — not free, but sometimes worth paying for. The security case is strongest when the good is strategic, hard to substitute, and supplied through fragile chains.
- ▶ Match the tool to the problem: displaced workers → adjustment aid; fragile supply chains → diversification; strategic technology → R&D and targeted capacity. Tariffs are one tool — and often a blunt one.

Discussion

Should America put a tariff on washing machines, steel, or semiconductors? For each: who benefits, who pays higher prices, is there a genuine national-security concern, and is a tariff the best tool — or would another policy work better? Then the debate: are tariffs patriotic?

Read before next class

- ▶ Autor, Dorn, and Hanson (2013), “The China Syndrome” (skim the figures).
- ▶ Douglas Irwin, *Peddling Protectionism: Smoot–Hawley and the Great Depression* (excerpt).